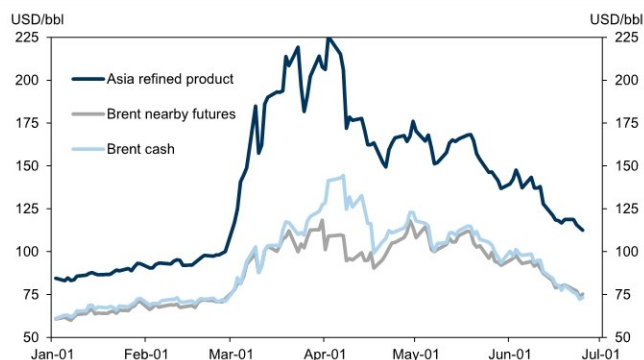


Asia Views: Oil relief, dollar pressure, tech boom

1. The past few weeks have brought welcome relief for the world's biggest oil-importing region. Intensive negotiations between the US and Iran have increased market hopes that the Strait of Hormuz will reopen, and brought down oil prices significantly (notwithstanding another round of tit-for-tat strikes). From a late April peak of near \$120/bbl, Brent crude has fallen to \$72/bbl as of this writing (Exhibit 1). Our commodities team forecasts \$80/bbl in Q4. While the plunge has been dramatic, oil prices remain slightly above levels prior to the war, more so for refined products where margins are likely to remain wide due to damage to facilities both in the Gulf and in Russia. Furthermore, a hawkish shift at the Fed – both in terms of new Chairman Warsh's commentary and in terms of FOMC participants' expectations for the funds rate – has supported the USD, which has moved back towards its March highs (Exhibit 2).

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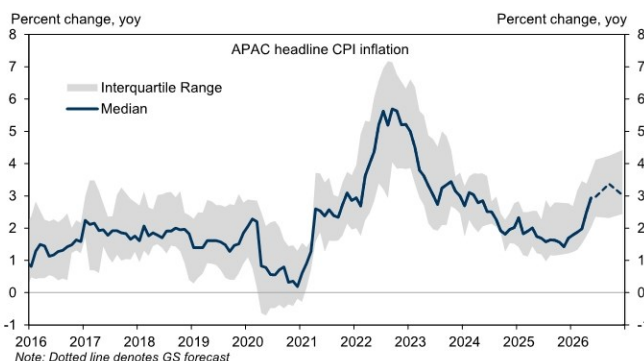
Exhibit 1: Oil prices have nearly round-tripped to pre-war levels, but refined product prices remain elevated

Source: Bloomberg, Goldman Sachs Global Investment Research

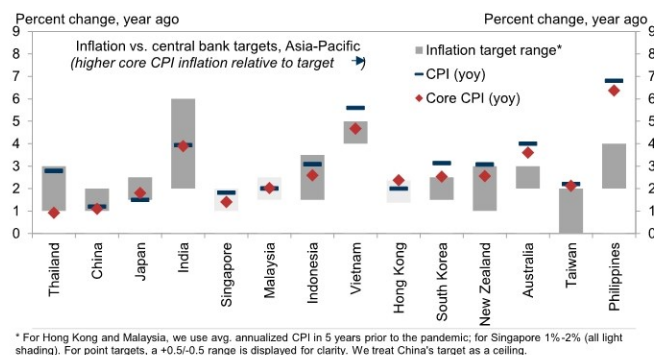
Exhibit 2: Dollar strengthened to near 2026 highs

Source: Haver Analytics, Goldman Sachs Global Investment Research

2. The energy-driven pickup in inflation has remained manageable in most of Asia – given a more narrowly-based and (as of now) briefer shock than in 2021-22, and the liberal use of inventories and fiscal policy to cushion the impact. The worst inflation outcomes have been in economies with limited energy subsidies, especially the Philippines (where CPI inflation reached 7.2% yoy) and several frontier economies. Elsewhere, though, inflation is generally still within, or near, target bands (Exhibit 4). We still expect core inflation to move higher in coming months as pass-through from higher energy costs (e.g. to chemicals prices) and weaker currencies plays its part. Food inflation is also likely to rise later this year and in early 2027 given the aftereffects of the shock and the potential for a strong El Niño event. In light of the plunge in oil prices, these factors suggest a slower normalization of inflation rather than a renewed sharp rise from here.

Exhibit 3: Asia CPI inflation has moved up, but less dramatically than in 2021-22

Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 4: Inflation is in line with or modestly above targets in most of the region

* For Hong Kong and Malaysia, we use avg. annualized CPI in 5 years prior to the pandemic; for Singapore 1%-2% (all light shading). For point targets, a +0.5/-0.5 range is displayed for clarity. We treat China's target as a ceiling.

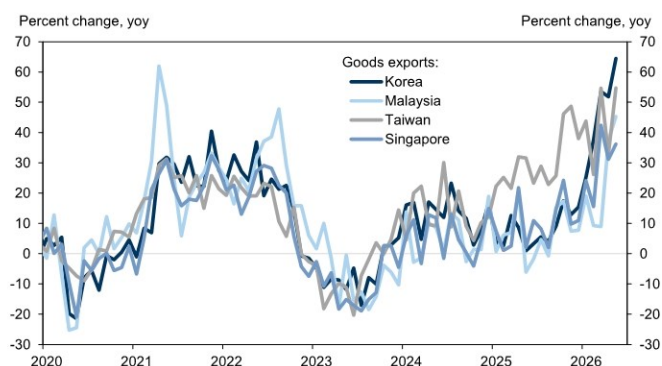
Source: Haver Analytics, Goldman Sachs Global Investment Research

3. Tech spending remains a dominant influence on several Asian economies and markets. Estimates for AI-related capex spending continue to march higher—consensus forecasts now estimate nearly \$1tn for the five large US hyperscalers alone in 2027—and exports from Asian participants in the AI equipment supply chain are surging (Exhibit 5). Korea, Taiwan, Malaysia, and Singapore have each run goods trade surpluses well in excess of 10% of GDP over the past three months. Booming equity markets have eased financial conditions significantly, though volatility has increased recently. A key

question for the second half is the degree to which buoyant exports and equities will spill over into stronger domestic activity. We expect Korea's private consumption growth to recover somewhat on wealth effects, while Taiwan's economy will likely continue to grow at around 10%—the strongest pace in the last four decades—supported by extraordinary strength in tech production.

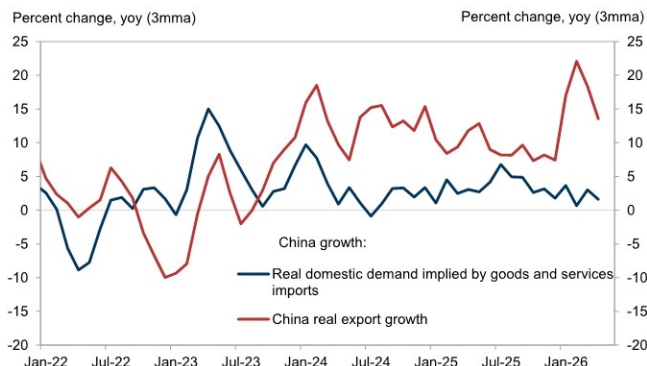
4. Growth prospects are brightening again. With energy prices much lower, policy pressures easing somewhat, and the tech boom ongoing, we have begun to nudge a few growth forecasts higher. In India, momentum has been better than expected and retail fuel prices will not need to rise as high as we had assumed, so we recently upgraded our full-year GDP growth forecast 30bp to 6.8%. We also took our Korea growth forecasts up slightly, mostly for 2027. Still, in ASEAN economies that have been particularly challenged by high oil prices, e.g. Indonesia, Philippines, Thailand, and Vietnam, we have yet to make changes—the first two of these still face a hangover from significant monetary tightening since the Iran war began.

Exhibit 5: Surging tech exports from key Asian suppliers



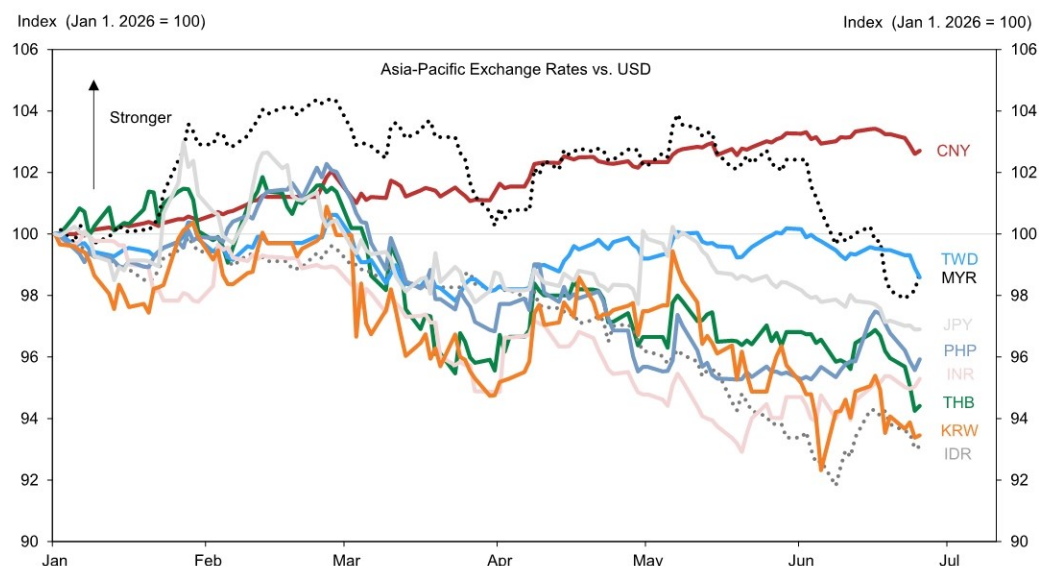
Source: Goldman Sachs Global Investment Research

Exhibit 6: Exports by far the largest driver of China's recent growth



Source: Goldman Sachs Global Investment Research

5. China's exports power on amid weak domestic activity. In May, both retail sales (−0.6% yoy) and fixed asset investment (−4.1% yoy) contracted, for only the second time on record—the first was in 2020 during Covid lockdowns. Weak retail sales reflect the fade-out of the trade-in program as well as pressure from higher oil prices, while investment is still being suppressed by the property downturn and tight local government finances. Overall, domestic demand looks to be growing at only a 1–2% annual rate (Exhibit 6). By contrast, exports were up over 19% yoy in May, fueling industrial production growth of 4.5% yoy and a monthly trade surplus of over \$100bn. Policymakers seem willing to be fairly patient, with only limited evidence thus far of a pickup in spending. Recent policy communications emphasized a more price-based monetary policy framework, reduced emphasis on aggregate credit extension, and rules-based capital account opening. We detect a clear pickup in efforts to accelerate RMB internationalization, by building out the “financial plumbing” to facilitate holdings by foreign central banks and institutional investors, alongside an ongoing grind stronger in the currency against both the USD and regional trade partners (Exhibit 7).

Exhibit 7: CNY stands out among Asian FX in 2026

Source: Bloomberg, Goldman Sachs Global Investment Research

6. Asian central bankers retain a conservative bias. The Bank of Japan hiked as planned and two monetary board members advocated an accelerated pace of hikes going forward. Elsewhere in DM Asia, the RBA paused but retains a hawkish bias, while the RBNZ has teed up a likely hike for its next meeting. Central banks in the Philippines and Indonesia hiked again (Indonesia after an inter-meeting move the week prior). Rhetoric from the Bank of Korea has been clearly hawkish, and we now forecast three hikes, the first in July. Among the regional high-yielders, India is an outlier, pushing back against market expectations of rate hikes (we still expect two late in the year) while taking measures to incentivize capital inflows to support the currency. Among the low-yielders, the Bank of Thailand held at 1% as expected last week, and we expect Malaysia (and now Taiwan, which also pushed back against hike expectations) to remain on hold.

Exhibit 8: We still expect tightening by several Asian central banks in coming months

Policy rates - actual and forecast								
	2025				2026			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3F	Q4F
US			-25bp	-50bp				
Euro area	-50bp	-50bp				+25bp	+25bp	
Japan	+25bp			+25bp		+25bp		
China		-10bp						
India	-25bp	-75bp		-25bp				+50bp
Indonesia	-25bp	-25bp	-75bp			+100bp		
Malaysia			-25bp					
Philippines		-50bp	-25bp	-50bp	-25bp	+50bp	+25bp	+50bp
Korea	-25bp	-25bp					+25bp	+25bp
Singapore*	-50bp	-50bp				+50bp		
Taiwan								
Thailand	-25bp	-25bp	-25bp	-25bp	-25bp			
Australia	-25bp	-25bp	-25bp		+50bp	+25bp	+25bp	
New Zealand	-50bp	-50bp	-25bp	-75bp			+50bp	

*Estimated adjustment of SGD NEER slope

Source: Haver Analytics, Wind, Goldman Sachs Global Investment Research

7. Fiscal policy adjustments are coming in the second half, however. With oil prices plunging, large-scale fiscal subsidies can be dialed back. Price caps/subsidy mechanisms in Japan and China will no longer be binding, while the cost of maintaining fixed retail prices will decline substantially in Indonesia and Malaysia. There could be new discretionary fiscal easing in Japan (where the Takaichi administration plans a tax cut on food as well as an increase in defense spending), Korea (an extension of fuel tax cuts, and new price subsidies for agricultural good prices—presumably funded by windfall tax revenues), and China (an acceleration in local govt special bond issuance and possibly spend-through). It's a relatively quiet period for regional elections, but upcoming state-level contests in Malaysia could have broader implications (which have weighed on the MYR recently). Unless a snap general election is called, we think the MYR will rebound as the underlying macro fundamentals remain positive, and therefore hold onto our short SGD/MYR recommendation.

8. Similar equity market themes, new rate FX/dynamics. Our equity strategists prefer to "stick with the winners", remaining overweight Japan/Korea/Taiwan/China A shares, and underweight several Southeast Asian markets. In fixed income, the easing in price pressures has made us slightly more constructive; we think 30y India government bonds look attractive on the improving macro backdrop, recent RBI FX measures, and potential index inclusion. We also favor short THB/INR, again reflecting the RBI measures, current account dynamics, relatively better INR valuation vs other high-carry EM currencies, and what we believe are different policymaker preferences in the two economies with respect to exchange rates. We expect broader global developments—particularly Fed policy, the AI investment theme, and progress on reopening the Strait of Hormuz—to

remain principal drivers of regional markets in coming months.

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Reg AC

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